

BE(A)WARE - Modus Operandi of Financial Fraudsters and Safeguards

Publisher: RBI | Topic: cashback_reward | Date: 2026-10-02

Official Source: <https://rbidocs.rbi.org.in/rdocs/content/pdfs/BEAWARE07032022.pdf>

Official Advisory: Reserve Bank of India: Customer Awareness on Financial Scams

Modus Operandi: Fake Cashback and Lottery Traps

Fraudsters send unsolicited SMS, WhatsApp messages, and emails claiming the recipient has won a cash lottery, reward coupons, lucky draw contest, or credit card reward points. The message includes an urgent link prompting the user to 'Claim Prize within 2 hours' or 'Redeem expiring points for cash'.

Credential Harvesting via Phishing Links

Clicking the link directs the victim to a fraudulent portal closely mimicking a legitimate bank or digital payment gateway. The webpage prompts the customer to enter debit/credit card number, CVV, expiry date, internet banking password, and OTP. Once entered, attackers perform unauthorized fund transfers or online purchases.

Key Safeguards and Digital Hygiene

1. Banks and regulated financial institutions never offer lotteries or random cash distributions via unsolicited SMS.
2. Never click on unverified short links (bit.ly, tinyurl, or suspicious domain names) received in SMS.
3. Reward points redemption is strictly handled inside verified banking apps or official net banking portals, never via external web links.
4. Do not disclose OTP, PIN, CVV, or passwords to anyone, including bank representatives.

Reporting Financial Fraud

In case of fraudulent transactions, report immediately to your bank to freeze channels and register an official complaint on cybercrime.gov.in or helpline 1930.

Citizen Action Checklist & Red Flags

- **Verify Sender Identity:** Always check official website addresses and header IDs (e.g., VM-SBI, AX-HDFC). Scammers use fake sender masks.
- **Never Share Authentication Secrets:** Passwords, OTPs, UPI PINs, and debit card CVVs are strictly confidential. Bank staff will NEVER ask for them.
- **Independent Verification:** If you receive a threat or alert about an account freeze, call the official bank branch number found on your physical card or bank statement.
- **Immediate Reporting:** Report cyber financial fraud within the Golden Hour by calling 1930 or visiting cybercrime.gov.in.

Frequently Asked Questions (Regulatory Clarifications)

Q1: Can money be deposited into my bank account by entering my UPI PIN?

A: No. A UPI PIN is solely an authorization to debit funds from your linked bank account. Receiving funds requires NO authentication or PIN entry.

Q2: What is the first action to take if money is fraudulently deducted?

A: Dial 1930 immediately to register the complaint on the Indian Cybercrime Coordination Centre (I4C) CFCFRMS portal so that the beneficiary account can be frozen before funds are withdrawn.

Q3: What should I do if an unknown caller threatens me with a police arrest over video call?

A: Disconnect immediately. Indian police and law enforcement agencies never issue summons, conduct investigations, or place citizens under 'Digital Arrest' via video calls.

Official Notice & Legal Status: This document is compiled for the ScamShield AI Knowledge Base from authentic public circulars, advisories, and directives issued by regulatory and enforcement authorities in India (including RBI, NPCI, I4C, MHA, SEBI, CERT-In, and DoT). All citizen rights, statutory duties, and liability ceilings are governed by relevant acts including the Information Technology Act 2000 and RBI Customer Protection Directives.